STATE OF NEW YORK
DEPARTMENT OF PUBLIC SERVICE

Case 23-G-0225 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

Case 23-G-0226 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service.

Case 23-G-0200 - Petition of The Brooklyn Union Gas Company d/b/a National Grid NY for a New York State Sales Tax Refund under 16 NYCRR Section 89.3 and Request for an Extension.

STAFF REPLY BRIEF

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I. INTRODUCTION

In a ruling at the evidentiary hearing held on May 20, 2024, Administrative Law Judges (ALJs) Maureen Leary and James Costello authorized parties to file post-hearing briefs regarding the specific issues raised at the hearing. In this Post-Hearing Reply Brief, Staff will address: (1) the role of Biomethane Interconnections within sections 7(2) and 7(3) of the Climate Leadership and Community Protection Act (CLCPA) and the cost recovery restrictions in the Joint Proposal; (2) We Act's argument regarding the Companies' marketing; and (3) the Joint Proposal's vast improvements to the Companies' Non-Pipeline Alternatives (NPAs) framework. In our own Initial Statement and Reply Statements, and our Post-Hearing Initial Brief, Staff has already addressed many of the arguments made by We Act for Environmental Justice (We Act) in its Post-Hearing Initial Brief. To that extent, Staff will not repeat those same arguments in this Reply Brief.

The Joint Proposal is a balanced resolution to the issues in these cases; the terms of which provide meaningful solutions and benefits regarding a myriad of issues. Specifically, the provisions of the Joint Proposal related to the Companies' Biomethane Interconnection projects are reasonable. The Joint Proposal protects customers from funding these interconnections should the developer-led projects never materialize. Further, the record in this proceeding clearly enables the Commission to render its decision in light of CLCPA sections 7(2) and 7(3), contrary to We Act's argument.

Staff also argues that We Act's arguments that the Companies' marketing and outreach is political speech falls outside the ambit of the ALJ's oral ruling authorizing Post Hearing Briefs. Moreover, We Act unduly recontextualizes Staff's statements contorting them to argue that the Companies' marketing and outreach is indeed political. Staff already addressed We Act's arguments regarding the political nature of the Companies' marketing in its Reply Statement.

The Joint Proposal includes agreement by the Companies restricting marketing for new gas connections or conversions and includes numerous enhancements to the Companies NPA framework to help increase the likelihood that the Companies will develop NPAs.

Accordingly, Staff continues to support the Joint Proposal as a balanced resolution to the issues in these cases; the terms of which provide meaningful solutions and benefits regarding a myriad of issues. Therefore, the Joint Proposal should be adopted by the Commission without modification.

II. BACKGROUND

On April 28, 2023, the Companies filed tariff leaves, direct testimony, and exhibits in support of their request to increase gas delivery rates for the rate year ending March 31, 2025, referred to in the context of the proposed three-year rate plans as "RY1." Over the course of these proceedings, Staff, the Companies, and other parties have pursued a resolution of these cases on both litigated and settlement tracks.[1] On April 9, 2024, the Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY) and KeySpan Gas East Corporation d/b/a National Grid (KEDLI) (collectively, the Companies) filed on behalf of Staff of the New York State Department of Public Service (Staff); Environmental Defense Fund (EDF); the City of New York (CNY); and NRG Energy (NRG) collectively the "Signatory Parties," a Joint Proposal recommending a comprehensive resolution of all issues raised in these proceedings.[2]

After the Signatory Parties filed the Joint Proposal, numerous parties filed initial statements on May 1, 2024, and reply statements on May 10, 2024, expressing their support or opposition to the Joint Proposal.

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1 Cases 23-G-0225 et al., KEDNY and KEDLI – Gas Rates, Staff Statement in Support of Joint Proposal (filed May 1, 2024) (Staff Statement in Support), pp. 1-3.

2 Exhibit (Ex.) 676.

In its Initial and Reply Statements, Staff recommended that the Commission adopt the provisions of the Joint Proposal and establish three-year gas rate plans for KEDNY and KEDLI to begin as of April 1, 2024.[3] On May 20, 2024, an evidentiary hearing on the Joint Proposal was conducted by ALJs Leary and Costello. At the evidentiary hearing, parties cross-examined Staff and the Companies' witnesses concerning the Joint Proposal. Additionally, at the evidentiary hearing the ALJ's asked the parties if there was a necessity for post-hearing briefs.[4] We Act, and the Alliance For A Green Economy (AGREE) requested the opportunity to file post-hearing briefs.[5] In response, the ALJ's ruled that the parties may file a post-hearing brief by June 3, 2024, limited to the matters raised at the evidentiary hearing.[6] Further, the ALJs ruled that the Signatory Parties to the Joint Proposal may file reply briefs by June 10, 2024.[7] We Act and Department Staff filed post-hearing briefs on June 3, 2024.

III. ARGUMENT

A. We Act's Argument is Patently Flawed and the Record is Sufficient for the Commission to Approve the Joint Proposal.

In its Post-Hearing Brief, We Act contends that the Companies' four proposed biomethane interconnection projects are inconsistent with CLCPA §7(2) and §7(3).[8] We Act's argument is patently flawed as the Commission's determinations pursuant to CLCPA §7(2) and §7(3) in this proceeding address the Joint Proposal in its entirety, not determinations specific to individual capital projects nor future or potential projects separate from the Companies' capital plan(s).

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[3] Staff recognizes that the Joint Proposal was submitted after the proposed beginning of the three-year rate plans. In order to allow for settlement negotiations and various procedural steps, the Companies' consented to extensions of the maximum suspension period for a major rate filing provided in Public Service law (PSL) §66(12)(f). As explained in the Joint Proposal and at various points herein, the Joint Proposal provides for a "make-whole," placing the Companies and customers in the same position they would have been in had the rate plans been in place on April 1, 2024.

[4] Cases 23-G-0225 et al., supra, May 20, 2024, Evidentiary Hearing Transcript, (Hearing Transcript) p. 121.

[5] Id., pp. 122-123.

[6] Id., pp. 123-125.

[7] Id., p. 123.

[8] Cases 23-G-0225 et al., supra, Post Evidentiary Hearing Brief of WE ACT For Environmental Justice (filed June 3, 2024), (We Act Post-Hearing Brief), p. 1.

Rather, the Commission must evaluate the Joint Proposal (i.e., the rate plan it would establish) and determine its consistency with achieving the greenhouse gas reduction targets of the CLCPA and ensure that the adoption of the Joint Proposal as a whole would not disproportionately burden disadvantaged communities - which the Commission has done in numerous cases since the CLCPA was implemented.[9] In addition, in making these determinations, the Commission has explained that it must also recognize that KEDNY and KEDLI must continue to provide "safe and adequate" service.[10] Staff and the signatory parties have clearly demonstrated that the record supports the finding, as required by section 7(2) of the CLCPA that adopting the terms of the Joint Proposal is not inconsistent with and will not interfere with the attainment of the CLCPA's greenhouse gas reduction targets and, in the alternative, that the record clearly supports such a finding, enabling the Commission to adopt the terms of the Joint Proposal on the basis that it provides the Companies with the means to provide "safe and adequate" service.[11] Additionally, the signatory parties have demonstrated that the record supports the finding required by section 7(3) of the CLCPA, that adopting the Joint Proposal as a whole will not disproportionately burden disadvantaged communities. As such, We Act's arguments should be rejected.

In its Order Approving Joint Proposal, as Modified, and Imposing Additional Requirements in Cases 19-G-0309 et al., the Commission held that in establishing that the CLCPA applies to rate cases "a Commission rate order approves only an overall capital expenditure plan and not the specific projects."[12] This landmark Order clarified the applicability of the CLCPA to rate cases in which the Commission made clear that its analysis did not rest upon an evaluation of impacts caused by specific projects, rather an overall capital plan. As

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[9] Cases 19-G-0309 et al., KEDNY and KEDLI - Gas Rates, Order Approving Joint Proposal, As Modified, And Imposing Additional Requirements (issued August 12, 2021) (2021 Rate Order), p. 71; Cases 20-E-0380 et al., Niagara Mohawk – Electric and Gas Rates, Order Adopting Terms of Joint Proposal, Establishing Rate Plans and Reporting Requirements (issued January 20, 2022), pp. 83 and 90; Cases 22-E-0064 et al., Con Edison – Electric and Gas Rates, Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans With Additional Requirements (issued July 20, 2023), p. 96; and Cases 22-E-0317 et al., NYSEG and RG&E – Electric and Gas Rates, Order Adopting Joint Proposal (issued October 12, 2023), p. 56.

[10] Staff Statement in Support, p. 9.

[11] Id., pp. 12-13.

[12] 2021 Rate Order, p. 70.

stated above, Staff and the signatory parties have already addressed the impacts of the Companies' capital plan.

We Act also conflates the Companies' interconnection projects with developer led Biomethane facilities, which are not proposed by nor included in the Companies' capital plan. Despite numerous examples, Staff and the signatory parties have previously addressed the emissions and reliability benefits of these interconnection projects and reiterates that RNG is a meaningful contribution towards the State's goals specifically acknowledged by the State's Climate Action Council.[13]

We Act is correct that the net impacts of these potential or future projects is currently unknown, however, these projects are separate and apart from the interconnections themselves, may not come to fruition and if they do, will require their own permitting. It is premature for any party or the Commission to surmise that these projects are inconsistent with the CLCPA. Anticipating the technologies and specific actions of these developers is nothing more than a hypothetical exercise, therefore, We Act's argument that the Companies' interconnection projects are inconsistent with the CLCPA is misplaced. The Joint Proposal also includes reporting requirements which the Companies must adhere to, prior to these facilities becoming operational, which should answer the net impacts of these facilities. It is, however, reasonable to assume that should these projects reach the point that they can be operationalized they are consistent with the CLCPA having undergone significant permitting and design work.

For these reasons, We Act's arguments should be rejected, and the Commission should adopt the terms of the Joint Proposal as proposed.

B. We Act's Argument Regarding Political Speech Falls Outside the Ambit of These Briefs

We Act incorrectly argues in their Post-Hearing Brief that Staff Witness Cully's statement that "sometimes gas is a political issue, and some customers don't want to lose gas service" equates to the Companies' marketing efforts are used to promote the "utility's position on a matter of public controversy [and] necessarily reflects the political views or self-interest of managements or shareholders and should not be borne by ratepayers."[14]

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[13] Staff Statement in Support, p. 87.
[14] We Act Post-Hearing Brief, p. 8.

We Act's argument concerning the political nature of the Companies' marketing and outreach does not fall within the scope of testimony elicited at the evidentiary hearing. We Act unduly recontextualizes Mr. Cully's statements in order to address an issue that was not raised at the hearing. We Act's argument falls outside the ambit of the ALJ's ruling which stated the Post Hearing Briefs were limited to the issue raised at the hearing, and therefore is inappropriate and should be disregarded and ignored in its entirety.

Further, Staff has already addressed the issue of whether the Commission can, based on the record in these cases, determine what aspects of the Companies' advertising and marketing is permissible for rate recovery pursuant to the Commission's 1977 Statement of Policy on Advertising and Promotional Practices of Public Utilities.[15] Staff also conducted its own analysis of the Companies' marketing and advertising materials which was addressed in the Staff Consumer Services Panel's Testimony.[16]

Further, Staff has already addressed the issue of whether the Commission can, based on the record in these cases, determine what aspects of the Companies' advertising and marketing is permissible for rate recovery pursuant to the Commission's 1977 Statement of Policy on Advertising and Promotional Practices of Public Utilities.[17] Staff also conducted its own analysis of the Companies' marketing and advertising materials which was addressed in the Staff Consumer Services Panel's Testimony.[18]

Further, Mr. Cully made his statement in answer to ALJ Leary's inquiry as to why customers do not adopt NPAs.[19] Mr. Cully's statement that [NPA adoption] is a "political issue" for *customers* (*emphasis added*) is unrelated to the Companies' marketing. In fact, were one to take We Act's argument to its conclusion then the same advertising supporting NPAs would be excluded as it is inconsistent with the Commission's 1977 Policy Statement, thus undermining the very same programs We Act purports to support. Stated another way, if marketing for NPAs is political and not eligible for rate recovery, constraining such funding may jeopardize the Companies' ability to support NPAs.

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15 Staff Reply Statement, pp. 31-34.
16 Ex. 490, p. 4.
17 Staff Reply Statement, pp. 31-34.
18 Ex. 490, p. 4.
19 Hearing Transcript, p. 103-104 ln. 25-9.

Mr. Cully's statement simply explains that, for some customers, access to or continued gas service is indeed a political issue and for those customers their politics dictates their decision-making.[20] Both the Companies' and Staff's panel reiterated that NPA adoption is "very customer specific."[21] Mr. Cully's answer to ALJ Leary does not speak to advertising or marketing, nor is an acknowledgement of customer's personal politics an implication of the Companies' marketing materials. Arguing otherwise unduly recontextualizes Mr. Cully's statements.

Ultimately, We Act's argument falls beyond the scope of the evidentiary hearing, and Staff has previously addressed the Commission's ability to ascertain the treatment of certain advertising and marketing proposed by the Companies. Further, We Act's argument unduly recontextualizes Mr. Cully's statement beyond its plain meaning. For these reasons, We Act's argument should be rejected in its entirety.

C. The Joint Proposal Restricts New Gas Marketing and Includes Vastly Improved NPA Processes

We Act contends that the Companies will fail to implement the Joint Proposal's NPA provisions, and the Commission should take aggressive action and institute a penalty if the Companies fail to meet NPA benchmarks.[22] Further, We Act argues that the Joint Proposal's NPA provisions are aspirational due to the lack of targets or benchmarks.[23] Although We Act expressed these concerns regarding the Joint Proposal's NPA provisions, We Act did support the "Companies' plan to leverage regional outreach and engagements and proactively communicate with and educate customers."[24]

The Joint Proposal includes the Companies' agreement to restrict marketing new gas connections and to pursue referrals for electrification.[25] Further, the current NPA framework was established in the 2021 Rate Order.[26] Additionally, the Commission is considering proposals submitted by the Companies, and other gas utilities, regarding a new NPA framework

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20 Id., p. 105.
21 Id., p. 105, 107.
22 We Act Post-Hearing Brief, pp. 8-9.
23 Id, p. 9.
24 Id.
25 Ex. 676, p. 54.
26 2021 Rate Order, p. 175.

in the Gas Long Term Planning Proceeding.[27] Several parties, including those participating in these proceedings, have submitted comments on the utility NPA proposals in the Gas Long Term Planning Proceeding. Pending the completion of the Commission's review of the proposals in the Gas Long Term Planning Proceeding, the Companies continue to operate under the NPA framework from the 2021 Rate Order.

The Joint Proposal's new NPA requirements represent a significant advancement in the Companies' NPA program under the existing regulatory framework governing NPAs. As explained in Staff's Initial Statement, the Joint Proposal includes eight specific improvements to the Companies' NPA process.[28] These improvements will improve the Companies; opportunity to implement NPAs during the rate term. Accordingly, the Joint Proposal should be approved.

IV. CONCLUSION

For the reasons stated in Staff's Statement in Support of the Joint Proposal, the Reply Statement and this Initial Brief, Staff recommends that the Commission adopt the terms of the Joint Proposal without modification.

Respectfully submitted,



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Dated: Albany, New York
June 10, 2024

[27] Case 20-G-0131, supra, Order Adopting Gas System Planning Process (issued May 12, 2022) (Gas System Planning Order), pp. 40-43.
[28] Staff Statement In Support, pp. 75-78.